Oxford Cambridge and RSA

PREDICTED PAPER – for revision use

GCSE (9–1) Economics

J205/01 Introduction to Economics

Predicted Paper 1 – Advanced Mark Scheme

Mark Scheme

This mark scheme follows the style of OCR GCSE Economics J205/01. Marks are allocated against the assessment objectives: AO1a (recall), AO1b (understanding), AO2 (application), AO3a (analysis) and AO3b (evaluation). Six-mark questions are marked using three levels.

How to use levels of response

a. To determine the level — start at the highest level and work down until you reach the level that matches the answer.

b. To determine the mark within the level:

- On the borderline of this level and the one below — at the bottom of the level
- Just enough achievement for this level — above the bottom of the level
- Meets the criteria with slight inconsistency — middle/above middle of the level
- Consistently meets the criteria for this level — at the top of the level

SECTION A — Multiple Choice

1 mark per question. No mark is awarded for contradictory or multiple answers.

Question	Key	AO	Quantitative skills
1	**B**	AO1a	
2	**C**	AO2	
3	**B**	AO2	Yes
4	**B**	AO1b	
5	**A**	AO2	Yes
6	**B**	AO1b	
7	**C**	AO1b	
8	**A**	AO2	
9	**B**	AO2	Yes
10	**B**	AO1b	
11	**C**	AO2	
12	**B**	AO1b	
13	**A**	AO2	Yes
14	**B**	AO1b	
15	**B**	AO1a	
16	**B**	AO2	
17	**A**	AO1b	
18	**C**	AO1a	
19	**A**	AO1b	
20	**B**	AO2	

SECTION B — Extended Response

Question 21 — The UK housing market

Question	Answer	Mark	Guidance
21 (a)	**Explain, using an example, what is meant by price inelastic supply.** Supply is price inelastic when a percentage change in price leads to a smaller percentage change in quantity supplied. For example, the supply of new houses in the short run is price inelastic because it takes time to plan and build them, so a price rise does not produce a large rise in supply.	**2** *AO1 a*	Award 1 mark for a clear definition and 1 mark for a suitable example.
21 (b)	**Explain one reason why new house-building is described as having inelastic supply in the short run.** New houses take a long time to plan, obtain permissions for, and build, so builders cannot respond quickly to a rise in price. Skilled construction workers and materials are also limited in the short run, limiting how much output can be increased.	**2** *AO1 b*	Award 2 marks for a developed reason linked to the time lag or shortage of inputs. Award 1 mark for an undeveloped point.
21 (c)	**Using a diagram, analyse the effect on the housing market of a rise in mortgage interest rates.** A rise in mortgage interest rates raises the cost of borrowing to buy a house, reducing the ability and willingness of consumers to take out mortgages. Demand for housing falls, shifting D to D1. At the original price there is excess supply. Price falls from P to P1 and quantity from Q to Q1. Because supply is inelastic in the short run, most of the effect comes through falling prices rather than big changes in quantity sold.	**6** *AO1 a/ AO2 / AO3 a*	Levels-based. Maximum 4 marks if no correct diagram. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with

Questio n	Answer	Mar k	Guidance
			some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.
21 (d)(i)	**Using Extract 1, explain one reason why house prices have risen sharply over the last decade.** Population growth has increased demand for housing while supply has grown more slowly. The extract states that new-build supply is limited by planning restrictions and a shortage of construction workers, so rising demand has pushed prices sharply upwards.	**2** *AO2*	Award 2 marks for applying information from the extract to show why prices rose. Award 1 mark for a correct theoretical point not linked to the extract.
21 (d)(ii)	**Explain how price inelastic supply of new houses could affect the ability of the market to respond to a fall in demand.** If supply is price inelastic, house-builders cannot quickly reduce the number of homes they complete. When demand falls, the market clears mainly through price falls rather than falls in quantity. Builders may be left with unsold homes in the short run.	**2** *AO2*	Award 2 marks for a clear explanation linking inelastic supply to a larger price adjustment. Award 1 mark for a partial answer.
21 (d) (iii)*	**Evaluate the extent to which rising interest rates are likely to slow the rise in UK house prices.** For: higher mortgage rates raise the monthly cost of buying a home, discouraging buyers and reducing demand. Demand for buy-to-	**6** *AO2 / AO3 a/ AO3*	Levels-based. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to

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	let property also falls as returns worsen. Lower demand tends to reduce the rate at which prices rise, or may cause them to fall. Against: because supply is very inelastic in the short run, even weaker demand may still meet a tight supply, keeping prices high. Population growth, limited new building and shortages of skilled construction workers continue to support prices. Some buyers may also bring forward purchases before rates rise further. Judgement: rising interest rates are likely to slow the rise in UK house prices, but the effect is limited by inelastic supply and underlying demand pressures. In the short run the slowing effect is modest; over the long run it depends on how long rates stay high and whether supply responds.	*b*	the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.

Question 22 — A car parts manufacturer

Question	Answer	Mark	Guidance
22 (a)	**Explain what is meant by the factor market.** The market in which firms buy factors of production (labour, capital, land, raw materials) from households and other firms. Workers sell their labour in this market in return for wages.	**2** *AO1 a*	Award 2 marks for a clear explanation of the factor market. Award 1 mark for a partial definition.
22 (b)	**Calculate the profit or loss Durrell Engineering will make on the contract.** Revenue = 20,000 × £45 = £900,000 Total cost = £360,000 + £240,000 + £120,000 + £150,000 = £870,000 Profit = £900,000 − £870,000 = £30,000	**2** *AO2*	Correct answer of £30,000 = 2 marks. Award 1 mark for correct revenue or correct total cost. OFR applies.
22 (c)	**Analyse the advantages for Durrell Engineering of making a profit on this contract.** Points may include: profit allows the firm to stay in business and cover its costs; retained profit can be reinvested in new machinery, which raises productivity and cuts unit costs; profit improves creditworthiness, making it easier or cheaper to borrow in the future; profit rewards the owners and senior managers for risk-taking; success attracts skilled labour and helps retain key employees.	**6** *AO1 a/ AO2 / AO3 a*	Levels-based. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation

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			considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.
22 (d)(i)	**Explain what is meant by productivity.** Productivity is output per unit of input in a given period, for example output per worker per hour.	**2** *AO1 b*	Award 2 marks for a clear explanation with reference to output per unit of input (or time). Award 1 mark for a partial answer.
22 (d)(ii)	**Draw and label a diagram showing the effect on Durrell Engineering's supply curve of a successful investment in more efficient capital equipment.** Supply curve shifts to the right (from S to S1).	**2** *AO2*	Award 2 marks for both curves labelled with correct rightward shift. Award 1 mark for a partial answer.
22 (d) (iii)*	**Evaluate the extent to which Durrell Engineering should take on further debt to invest in new capital equipment when interest rates are high.** For: more efficient capital equipment would raise productivity, lower unit costs, and improve competitiveness. A more efficient factory could win further contracts and grow profits. Investing now could give Durrell a cost advantage over rivals that are also facing high rates. Against: high interest rates raise the cost of borrowing significantly, meaning Durrell's monthly interest bill will be high and eat into profit margins. If demand for car parts weakens, the firm may struggle to service the debt. The firm could use retained profit (£30,000 from this contract) to part-fund a	**6** *AO2 / AO3 a/ AO3 b*	Levels-based. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the

Question	Answer	Mark	Guidance
	smaller investment, reducing risk. Judgement: Durrell should invest selectively, prioritising equipment with a fast payback, and use a mix of retained profit and careful borrowing rather than take on large new debt at high rates.		analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.

Question 23 — A multinational coffee chain

Question	Answer	Mark	Guidance
23 (a)	**Explain what is meant by price elasticity of demand.** Price elasticity of demand measures the responsiveness of quantity demanded to a change in price. It is calculated as the percentage change in quantity demanded divided by the percentage change in price.	**2** *AO1 a*	Award 2 marks for a clear explanation that includes responsiveness AND the formula/description. Award 1 mark for just 'responsiveness to price'.
23 (b)	**Draw and label a demand and supply diagram showing the likely effect on the world market for coffee beans of a global shortage.** Supply curve shifts to the left (S to S1); price rises from P to P1, quantity falls from Q to Q1. Demand curve downward sloping as normal.	**2** *AO2*	Award 2 marks for fully labelled diagram with correct leftward shift. Award 1 mark for partial answer.
23 (c)	**Using a diagram, analyse the likely impact on Bearcup of rising costs of coffee beans, given that demand for its premium coffee is price inelastic.** Higher input costs shift Bearcup's supply curve to the left (S to S1). Because demand is price inelastic (steep demand curve), the equilibrium price rises sharply from P to P1 while the quantity sold only falls slightly from Q to Q1. This means Bearcup can pass on most of the cost increase to consumers and maintain revenue, although profit depends on how costs compare to the new higher prices.	**6** *AO1 a/ AO2 / AO3 a*	Levels-based. Maximum 4 marks if no correct diagram. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that

Question	Answer	Mark	Guidance
			address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.
23 (d)(i)	**Calculate Bearcup's new monthly interest payment when the interest rate rises to 5.5%.** Annual interest = £20,000,000 × 5.5% = £1,100,000 Monthly interest = £1,100,000 ÷ 12 = £91,666.67	2 *AO2*	Correct answer of £91,666.67 (accept £91,667) = 2 marks. Award 1 mark for correct annual figure only. OFR applies.
23 (d)(ii)	**Explain the opportunity cost to Bearcup of reducing its range of food products.** The opportunity cost is the next best alternative given up. By dropping food products, Bearcup loses the revenue and profit margins on those items and also loses customers who visit mainly for food. The opportunity cost is the foregone revenue and profit from those food sales.	2 *AO2*	Award 2 marks for a clear application of opportunity cost to the scenario. Award 1 mark for a theoretical answer only.
23 (d)(iii)*	**Evaluate whether Bearcup should focus on increased specialisation in premium coffee rather than on non-price competition.** For specialisation: focusing on premium coffee could strengthen brand identity, justify higher prices, take advantage of price inelastic demand, and simplify supply chains. A narrower menu can raise productivity per store and reduce waste. For non-price competition instead: strong	6 *AO2/ AO3a/ AO3b*	Levels-based. Reward a judgement that considers both strategies and reaches a clear, well-supported decision. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with

Question	Answer	Mark	Guidance
	brand, loyalty programmes, an improved in-store experience and ethically sourced beans could protect market share from smaller independent shops and allow Bearcup to keep charging premium prices without cutting range. Non-price competition tends to lock in repeat custom and reduce price wars. Against specialisation alone: cutting food products could push some customers to competitors who offer more choice and reduce total spend per visit. Relying on one product (premium coffee) increases exposure to shocks in coffee bean markets. Judgement: the two strategies are not mutually exclusive. Bearcup should deepen specialisation in coffee where demand is inelastic, but support this with strong non-price competition (loyalty schemes, in-store experience) to protect market share. A pure focus on specialisation without non-price strengthening would be risky.		reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.

Assessment Objective Grid

The paper totals 80 marks across Section A (20 marks, one mark each) and Section B (60 marks). Each question in Section B is worth 20 marks. Total marks are distributed approximately as follows:

- AO1a (Knowledge / recall): approx. 12 marks
- AO1b (Understanding): approx. 16 marks
- AO2 (Application): approx. 28 marks
- AO3a (Analysis): approx. 15 marks
- AO3b (Evaluation): approx. 9 marks

Quantitative skills are tested in approximately 8 marks across the paper.

END OF MARK SCHEME